3.4.1 Operational objectives

Unit 3.4 Operational management · 7 key points

- **Operational objectives named by AQA:** costs, quality, speed of response and flexibility, environmental objectives, added value
- **Unit cost objectives:** e.g. cut cost per unit by 5%
- **Quality objectives:** e.g. reduce the defect rate or complaints
- **Speed of response and flexibility:** how quickly the business can react to orders and changes in demand
- **Environmental objectives:** e.g. cut waste, energy use or emissions
- **Added value:** selling price − cost of bought-in materials
- **Influences:** corporate objectives, the market, resources, competitors